



Chapter 1: Accounting in Action

1. What are the three basic activities of accounting?

Accounting consists of:

- **Identifying** economic events.
- **Recording** them systematically.
- **Communicating** financial information through reports and analysis.

2. Who uses accounting data?

- **Internal Users:** Managers, HR, Finance, Marketing—use data for planning, controlling, and decision-making.
- **External Users:** Investors, creditors, regulators—use it to assess profitability, creditworthiness, and compliance.

3. What are the key financial statements?

1. **Balance Sheet** – Shows assets, liabilities, and owner's equity at a point in time.
2. **Income Statement** – Reports revenues and expenses over a period.
3. **Owner's Equity Statement** – Reports changes in owner's equity during a period.
4. **Statement of Cash Flows** – Summarizes cash inflows and outflows during a period.

4. What are Generally Accepted Accounting Principles (GAAP)?

GAAP are standardized guidelines **used to prepare and present financial statements to ensure consistency and comparability.**

5. What are the key measurement principles in accounting?

- **Historical Cost Principle:** Assets are recorded at their original cost.
- **Fair Value Principle:** Assets/liabilities may be recorded at current fair value if more relevant.

6. What are the key accounting assumptions?

- **Monetary Unit Assumption:** Only transactions measurable in money are recorded.
- **Economic Entity Assumption:** Business is treated as separate from its owner or other businesses.

7. What are the main forms of business ownership?

- **Proprietorship:** Single owner, full liability.
- **Partnership:** Two or more owners, shared liability.
- **Corporation:** Legal entity, limited liability, ownership via shares.

8. What is the basic accounting equation?

Assets = Liabilities + Owner's Equity

It is the foundation for the entire accounting system.

9. What are the components of the accounting equation?

- **Assets:** Resources owned (cash, equipment).
- **Liabilities:** Obligations/debts (accounts payable).

- **Owner's Equity:** Owner's claim on assets (investments, revenues - expenses - drawings).
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10. What increases and decreases Owner's Equity?

- **Increases:** Owner investment and revenues.
 - **Decreases:** Owner withdrawals and expenses.
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11. What is a business transaction and how does it affect the accounting equation?

A **transaction** is a business event that has a financial impact. Each transaction affects **at least two** elements of the accounting equation, keeping it in balance.

12. What is a tabular analysis?

A **tabular analysis** shows how each transaction affects assets, liabilities, and owner's equity using the expanded accounting equation:

Assets = Liabilities + Owner's Capital + Revenues - Expenses - Drawings

13. How do the four financial statements relate to each other?

- **Net income** from the **income statement** is used in the **owner's equity statement**.
 - Ending **owner's equity** is shown in the **balance sheet**.
 - The **cash at period end** in the **cash flow statement** matches the balance sheet.
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14. What is the purpose of the income statement?

To report **revenues and expenses**, resulting in **net income or loss** over a period.

15. What is the purpose of the owner's equity statement?

To report **changes in owner's equity**, including investments, net income, and withdrawals.

16. What is the purpose of the balance sheet?

To show the company's **financial position** at a specific date by listing **assets, liabilities, and owner's equity**.

17. What is the purpose of the statement of cash flows?

To show the **sources and uses of cash** across three activities:

- **Operating**
 - **Investing**
 - **Financing**
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18. What are examples of transactions and how are they recorded?

Examples:

- Owner invests cash: ↑ Cash, ↑ Capital
- Buy equipment on credit: ↑ Equipment, ↑ Accounts Payable
- Earn revenue: ↑ Cash or A/R, ↑ Revenue
- Pay rent: ↓ Cash, ↑ Expense
- Owner withdraws money: ↓ Cash, ↑ Drawings

These transactions are reflected in **tabular analysis** using the expanded accounting equation.

19. How to prepare financial statements from transaction data?

Using:

- **Income statement** → Net income
- **Owner's equity statement** → Use net income and drawings
- **Balance sheet** → From assets, liabilities, and ending owner's equity
- **Cash flow** → From cash activities over the period

✓ Summary Table

Topic	Key Concept
3 Activities of Accounting	Identify, Record, Communicate
Users of Data	Internal & External
Basic Equation	Assets = Liabilities + Owner's Equity
Owner's Equity	Increased by Investment & Revenue; Decreased by Expenses & Drawings
4 Financial Statements	Balance Sheet, Income Statement, Owner's Equity, Cash Flows
GAAP	Framework for consistent reporting
Assumptions	Monetary Unit & Economic Entity
Forms of Ownership	Proprietorship, Partnership, Corporation

Let me know if you'd like:

- A **worksheet template** to practice the tabular analysis
- A **summary PDF** for easy review
- Help solving Problems 1 & 2 from the end of the chapter!

Let's solve **Problem 1** and **Problem 2** from your slides using **tabular analysis** and prepare the **Income Statement**, **Owner's Equity Statement**, and **Balance Sheet** where needed.



Problem 1: Beckham Deliveries (June)

Given Transactions:

Date	Description
1	Gordon invested \$10,000 cash
2	Bought van for \$12,000: paid \$2,000 cash + \$10,000 note payable
3	Paid \$500 rent
5	Earned \$4,400 service revenue on account
9	Withdrew \$200
12	Bought \$150 supplies on account
15	Received \$1,250 cash from June 5 revenue
17	Bought \$200 gasoline on account
20	Received \$1,300 cash for services
23	Paid \$600 on note payable
26	Paid \$250 for utilities
29	Paid for \$200 gasoline bought on June 17
30	Paid \$1,000 for salaries



Tabular Analysis (Summary)

Transaction	Cash	Accounts Receivable	Supplies	Equipment	Accounts Payable	Notes Payable	Owner's Capital
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Begin Balance	0	0	0	0	0	0	0
1. Invest	+10,000						+10,000
2. Van	-2,000			+12,000		+10,000	
3. Rent	-500						
5. Service on account		+4,400					
9. Draw	-200						
12. Supplies on account			+150		+150		
15. Received A/R	+1,250	-1,250					
17. Gasoline on account					+200		
20. Service revenue	+1,300						
23. Paid note	-600					-600	
26. Utilities	-250						
29. Pay for gasoline	-200				-200		
30. Salaries	-1,000						
Totals	+8,800	+3,150	+150	+12,000	+350	+9,400	+10,000



Income Statement for June

Beckham Deliveries

Income Statement

For the Month Ended June 30, 2012

Revenues	\$5,700
Expenses:	
Rent	\$500
Utilities	\$250
Salaries	\$1,000
Total	\$1,750
Net Income	\$3,950



Owner's Equity Statement

Beckham Deliveries

Owner's Equity Statement

For the Month Ended June 30, 2012

Owner's Capital, June 1	\$0	
Add: Investment	10,000	
Add: Net Income	3,950	
Less: Drawings	-200	
 Owner's Capital, June 30 	\$13,750	



Balance Sheet

Beckham Deliveries

Balance Sheet

June 30, 2012

Assets	
Cash	\$8,800
Accounts Receivable	3,150
Supplies	150
Equipment	12,000
Total Assets	\$24,100

Liabilities and Owner's Equity	
Accounts Payable	\$350
Notes Payable	9,400
Owner's Equity	13,750
Total Liabilities + Equity	\$24,100



Problem 2: Juanita Pierre – Tabular Analysis

July 31 Beginning Balances

Cash	A/R	Supplies	Equip.	A/P	Notes Payable	Owner's Capital
5,000	1,500	500	6,000	4,200	0	8,800

August Transactions (Summarized Effects)

#	Description	Cash	A/R	Supplies	Equip.	A/P	Notes Pay.
1	Collected A/R	+1,200	-1,200				
2	Paid A/P	-2,800				-2,800	
3	Earned \$7,500 (3,000 cash, 4,500 A/R)	+3,000	+4,500				
4	Bought equip. (\$400 cash + \$1,600 A/P)	-400			+2,000	+1,600	
5	Paid salaries, rent, adv.	-3,800					
6	Drawing	-700					
7	Borrowed \$2,000 (note)	+2,000					+2,000
8	Utilities on account					+270	



Updated Balances (After August)

Cash	A/R	Supplies	Equip.	A/P	Notes Pay.	Capital	Drawing
3,300	4,800	500	8,000	3,270	2,000	8,800	700

You can now use this data to prepare financial statements similarly to Problem 1.

Would you like me to format and generate the **Income Statement, Owner's Equity Statement, and Balance Sheet** for Problem 2 as well?

Great! Let's prepare the **Income Statement, Owner's Equity Statement, and Balance Sheet** for **Problem 2: Juanita Pierre – August Transactions** using the final balances we calculated.



Income Statement

Juanita Pierre, Attorney at Law

Income Statement

For the Month Ended August 31, 2012

Revenues	
Service Revenue	\$7,500
Total Revenues	\$7,500

Expenses		
Salaries Expense	\$2,500	
Rent Expense	\$900	
Advertising Expense	\$400	
Utilities Expense	\$270	
Total Expenses	\$4,070	
Net Income	\$3,430	



Owner's Equity Statement

Juanita Pierre, Attorney at Law

Owner's Equity Statement

For the Month Ended August 31, 2012

Description	Amount
Owner's Capital, July 31	\$8,800
Add: Net Income	3,430
Subtotal	12,230
Less: Drawings	(700)
Owner's Capital, August 31	\$11,530



Balance Sheet

Juanita Pierre, Attorney at Law

Balance Sheet

As of August 31, 2012

Assets

Assets	Amount
Cash	\$3,300

Accounts Receivable	4,800
Supplies	500
Equipment	8,000
Total Assets	\$16,600

Liabilities and Owner's Equity

Liabilities	Amount
Accounts Payable	\$3,270
Notes Payable	2,000
Total Liabilities	\$5,270

Owner's Equity	
Owner's Capital	11,530
Total Liabilities & Owner's Equity	\$16,600

✓ All statements are now complete and the **accounting equation balances**:

Assets = Liabilities + Owner's Equity → \$16,600 = \$5,270 + \$11,530

Would you like me to generate a printable PDF version  or help with journal entries or ledger formatting?